Investing Basics – Lesson Notes

Investing is the process of allocating money into assets with the expectation that they will generate income or increase in value over time.

Key Investment Concepts

Concept	Explanation
Compound Interest	Earning interest on both the original investment and accumulated interest.
Risk	The possibility that an investment will lose value.
Return	The profit earned from an investment.
Diversification	Spreading investments across assets to reduce risk.
Asset Allocation	How investments are divided among different asset classes.

Common Asset Classes

• Stocks – ownership shares in companies.

• Bonds – loans to governments or corporations that pay interest.

• Real Estate – property investments.

• Cash / Cash Equivalents – savings accounts, money market funds.

Basic Investing Principles

• Start investing early to benefit from compounding.

• Diversify investments to manage risk.

• Invest consistently over time.

• Focus on long-term growth instead of short-term market movements.